

Economics 202: Intermediate Macroeconomics

Wellesley College

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PNE 423

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Office Hours: Mon 4-5 PM, W 1-2 PM, Fri [Zoom] 3-4 PM

Class Time and Location

Generally Mondays, 2:20-3:35, and Wednesdays, 2:30-3:45, in PNE 139. We will meet on some Thursdays as well; those dates are marked on the schedule below, and additional Thursday meetings may be added as needed. This is primarily a Monday-Wednesday class, with some Thursday meetings.

Course Description

This course provides a rigorous treatment of the theoretical and empirical concepts of macroeconomics. The economics prerequisites for this course are 101 and 102. A solid mathematical background is essential for your success in this course, and Math 115 (or higher) is also a prerequisite.

Learning Goals

Your 102 course was focused on macroeconomic concepts (GDP, inflation, unemployment, etc. and how they are defined and measured) and basic models that introduced to you the role of policy changes in stabilizing economic activity.

The goals of this course are different. We will be focused on developing much more rigorous theoretical models. We will spend the majority of the course analyzing technically sophisticated models of macroeconomic fluctuations, and using them to understand monetary and fiscal policies, and their limits.

By the end of the semester, you should be able to understand: 1) the causes and consequences of economic fluctuations in the short-run; 2) the role of supply-side factors in adjustment over the medium-run; 3) monetary and fiscal policies, the role of expectations in determining their effects, and their short- and medium-run impacts; 4) the role of international financial flows, trade in goods and services, and exchange rate fluctuations in economic activity; and 5) the mechanisms that influence economic growth in the long run.

Readings

The required textbook is Blanchard, *Macroeconomics* (8th ed.), available at the Wellesley bookstore. The readings from the textbook are a required part of the course. I also recommend that you follow current macroeconomic developments by reading the *New York Times* or the *Washington Post*. The 7th edition is similar to the 8th, but please do not purchase editions other than the 7th, as they are quite different.

Google Site

Problem sets, solution sets, and other materials will be posted on the course google site.

Problem Sets

Five problem sets will be assigned. Groups of students may collaborate on the assignments, but each student must write up her own assignment individually. The assignments will have a specific date and time when they are due (they will be submitted online). Late assignments will not be accepted.

Exams and Grading

There will be three exams in this course: two in-class midterms, and a final. The midterms will be Wednesday March 4 and Thursday April 16. No make-up exams will be given, unless you inform me of a schedule conflict *immediately*. The self-scheduled final exam will be comprehensive.

Problem sets and exams will count toward the grade as follows:

1. Problem Sets, 15%
2. Midterm Exams, 50%
3. Final Exam, 35%

Students needing disability accommodations should get into contact with Wellesley's office of Accessibility and Disability Resources (wellesley.edu/adr).

Some Advice

This course is cumulative in nature. It is therefore important that you keep yourself from falling behind—this will have long-term consequences. If you find yourself having trouble, come to my office hours, and go see the tutor.

Before the exams, I will distribute sample problems with solutions, and I recommend that you do not look at the solutions when you try to solve the problems. Some of the problems may look easy once you have seen the solution; it is important that you gain the experience of trying to figure out how to solve the problems.

Classroom Environment

Active engagement with the material in class is essential. I strongly prefer that you not use laptops during class. (There will be graphs and equations which are much easier to write on paper). If you would like to use one to take notes, please come see me first. Please also turn off your phones and put them away. Do not text, check facebook, etc. during class.

Course Policies

Be kind and respectful to one another. Be honest, and follow Wellesley's Honor Code. (Please re-familiarize yourself with the honor code if you haven't looked at it in a while.)

Also note:

1. Students are expected to attend all class meetings
2. The due dates for the problem sets will be clearly stated when they are given, and late assignments will be penalized.
3. Students who have a conflict with the midterm exam need to notify me of the conflict immediately
4. Students receiving ADR accommodations will be responsible for working with me to arrange for accommodated testing and should do so at least two weeks in advance of the exam.

These policies are consistent with the Economics Department's principles and guidelines (see <https://intranet.wellesley.edu/login?RelayState=/academics/department/economics/principles-and-guidelines>).

AI

Assessment in this course will be based primarily on in-person, closed-book exams taken on paper. To do well on the exams, you need to learn how to use the models we develop in the class, and solve problems based on those models. There may well be AI chatbots capable of solving those same problems, but if you have them solve your problem set questions for you, you are defeating the purpose of the problem sets. There is learning by doing, and outsourcing your work to AI is very much not doing.

Class Schedule

1. Introduction

January 21 Macroeconomic issues
Blanchard, ch. 1

January 22 Review of basic math and macro concepts
Blanchard, ch. 14-1, Appendix 2

2. The economy in the short run

January 26 The goods market: demand, output, savings and investment
Blanchard, ch. 3

January 28 Financial markets: money supply, money demand and the interest rate
Blanchard, ch. 4

February 2 Goods and financial markets: the IS-LM model
Blanchard, ch. 5

February 4 IS-LM, continued
Blanchard, ch. 5

February 9 Leverage, financial shocks, and the crisis: the Extended IS-LM model
Blanchard, ch. 6

3. The economy in the medium run

February 11 The labor market, wages and prices

Blanchard, ch. 7

February 17 [Tues] The Phillips Curve and the natural rate

Blanchard, ch. 8

February 18 From the short run to the medium run: IS-LM-PC

Blanchard, ch. 9

February 23 Applying IS-LM-PC

Blanchard, ch. 9

February 25 Applying IS-LM-PC

Blanchard, ch. 9

March 2 Summary and review

March 4 Midterm I

4. Open economy macroeconomics

March 9 Goods and financial markets in an open economy

Blanchard, ch. 17

March 11 IS-LM in an open economy

Blanchard, chs. 18, 19

March 23 IS-LM in an open economy, continued

Blanchard, ch. 18, 19

March 25 Exchange rate regimes

Blanchard, ch. 20

5. The role of expectations

March 30 Computing present values; financial markets and expectations

Blanchard, chs. 14

April 1 Consumption, investment and expectations

Blanchard, ch. 15

April 6 Expectations and economic policy

Blanchard, ch. 16

6. The economy in the long run: the process of economic growth

April 8 Saving, capital accumulation, and growth

Blanchard, ch. 10

April 13 Review of units 4 and 5

April 16 [Thurs] Midterm II

April 22 The Solow model

Blanchard, chs. 11, 12

April 27 Technological progress in the Solow model

Blanchard, ch. 11, 12

April 29 Review of the course